

Title: Divya Pharmacy v. Union of India — Indian Companies Must Pay ABS Too

Jurisdiction: India

Category: Case Law

Source Citation: Divya Pharmacy v. Union of India & Ors., 2018 SCC OnLine Utt 1035, High Court of Uttarakhand (Justice Sudhanshu Dhulia), decided 21 December 2018

Plain English Summary:

Divya Pharmacy (a Patanjali-group Ayurvedic manufacturer) argued that Access and Benefit Sharing (ABS) obligations under the BD Act only applied to foreign companies, not 100% Indian-owned ones. The Uttarakhand High Court rejected this, ruling that **any entity — Indian or foreign — extracting biological resources for commercial use must give prior intimation to the State Biodiversity Board and share revenue with local communities**. For any Ayurvedic company, this closes off the "we're a purely Indian company so ABS doesn't apply to us" argument entirely — it never did.

The Exact Legal Text:

[This is case law, not statute — summarized holding rather than verbatim text, per standard legal-database practice.] Key holding: The Court held that all Indian companies which are extracting biological resources are liable to seek prior approval under Section 7 of the Biological Diversity Act, 2002, as well as share part of their revenue with indigenous and local communities responsible for conserving and protecting such resources. The Court rejected Divya Pharmacy's contention that Fair and Equitable Benefit Sharing (FEBS) provisions apply only to foreign entities, holding that biological resources are national property and that maintaining a distinction between purely Indian and non-Indian commercial use would be absurd for meaningful recognition of indigenous peoples' role in biodiversity stewardship. State Biodiversity Boards were confirmed to have the regulatory power to demand FEBS while granting approval for commercial use of biological resources.

Keywords/Triggers:

Divya Pharmacy case, ABS applies to Indian companies, Patanjali biodiversity case, FEBS Indian entity, State Biodiversity Board power, Uttarakhand High Court biodiversity, benefit sharing precedent